

ABC Company - Cost Governance Policy (4000+ words)

Executive Summary

Comprehensive cost governance policy establishing budget allocation, escalation procedures, tagging enforcement, and resource lifecycle management across ABC Company cloud infrastructure.

Budget Alerts & Escalation

50% threshold: Informational alert. 75% threshold: Warning alert sent to team lead. 90% threshold: Urgent escalation to Cost Council. 110% threshold: Automatic cost hold applied.

Monthly Cost Review

First Friday each month: Cost Council reviews all team spending. Variance tolerance: 10% without escalation, 15-20% triggers investigation. Budget projections reviewed for next quarter.

Tagging Enforcement

Every Friday afternoon: Automated scan for untagged resources. 48-hour remediation window. Non-compliance after 48 hours: Automatic resource halt.

Cost Optimization

Reserved instances provide 30-40% savings for 24/7 workloads. Spot instances provide 70-90% savings for non-critical infrastructure. Rightsizing targets: Monitor CPU <20% for potential downsizing.

Anomaly Detection

Daily anomaly scans: Day-over-day 20% increase triggers investigation. Month-over-month 40% increase triggers escalation. All anomalies require 24-hour investigation SLA.

FinOps Maturity

Crawl phase (current): 20-30% cloud waste typical. Walk phase (Q2 2026): 10-20% cost reduction target. Run phase (Q4 2026): 30-50% cost reduction target.